



2%
the US federal
government's
target level of
inflation

CAUSES OF DEMAND-PULL INFLATION

When an economy expands too rapidly, or unsustainably, an excess money supply can cause customer demand to overtake the supply of goods and services. An increase in spending is caused by several factors.

- › **Monetary policy** A cut in interest rates leading to a relaxation of loan restrictions can increase money supply, leading to more borrowing and spending.
- › **Government spending** Increased investment and spending by the state can expand the money supply, resulting in consumer activity.
- › **Lower tax** A decrease in direct or indirect taxes can increase income.
- › **Consumer confidence** If consumers and companies feel confident about the future, they may spend money they would otherwise have saved.
- › **Property prices** High house prices can cause home owners to feel more wealthy, increasing their willingness to spend and thus their demand for consumer goods.
- › **Rapid growth abroad** High export sales can increase the amount of money flowing into the country, with a ripple effect on inflation.

